Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley

How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

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Rates Spark: Triple-whammy for gilts

The 10Y gilt yield is hitting new records and politics could turn a double-whammy into a triple-whammy. Meanwhile, the US yields backdrop has come off extremes, but the problems that drove us there remain

US rates dipped while sterling rates hit new highs

New record highs for sterling rates, but don't just blame politics

Sterling rates are reaching new record highs, but even though politics are easily blamed, external factors are the more obvious culprit. The 10Y gilt yield touched 5.1% during intraday trading, a level last seen in 2008. Gilts are facing a double-whammy, being both sensitive to inflation through higher oil prices and by being relatively vulnerable to spillovers from US markets. Already since the start of the crisis, markets have had a more hawkish take on the Bank of England's reaction function to higher oil prices. It is more hawkish than for the Fed or the European Central Bank (ECB).

Secondly, gilts' tight correlation with UST's is pushing rates higher on the back of US optimism. With equities in the US hitting new records, the 10Y UST yield has now drifted above 4.4% and seems to find little resistance. A sharp risk-off episode could push yields down again, but so far market sentiment seems very resilient. US macro data is also sturdy, which means that real rates are not showing any signs of economic weakness.

Gilt yields can therefore rise even higher from here, with politics posing the risk of turning the situation into a triple-whammy. So far, however, we're not seeing clear signs of investors turning more wary of the UK because of the political turmoil. For instance, the spread between gilt yields and swaps, which is often seen as a gauge of gilt market stress, has been relatively stable. Also, our FX strategists point out that the currency is not showing any weakness when accounting for rate dynamics. This could change, of course, but with eyes still fixated on the Middle East conflict, politics is likely to remain in the passenger seat.

The US backdrop has come off extremes, but the problems that drove us there remain

Key US market rates had a dip day on Tuesday. The 10yr SOFR rate dipped back below 4%. But only just. Same for the 30yr Treasury yield, dipping below 5%. But to all intents and purposes, we are still looking at these two key metrics at 4% and 5% respectively, with the risk that these are floors for now rather than ceilings.

There is, at the same time, a credible narrative that these aforementioned levels represent 'value'. The 4% level for 10yr SOFR is a nice level to receive at (see more here). And for many players, getting a 5% handle on US Treasuries has been something of a novelty in recent decades. In addition, many players mark 4.5% on the 10yr Treasury yield as a structural buy.

We'd generally agree with these latter thoughts, as a structural view. But that does not mean we can't continue to move higher first, as a tactical view.

The issue here is inflation breakevens remain under rising pressure. They eased lower on Tuesday in tandem with an easing in the price of oil. But there is no dynamic that we can latch on to whereby there is any structural resolution to the supply shock coming from the Strait of Hormuz. Just because the ceasefire is holding does not translate into any imminent release of upward pressure on the oil price.

Change that narrative, and we can absolutely regard the aforementioned levels as in the buy zone. But until then, the risk is market rates continue to edge higher.

Wednesday's events and market views

From the eurozone we have Spanish and Italian PMIs which will be watched. Over the past few weeks, the eurozone economic data have consistently disappointed to the downside relative to consensus. But with the Middle East conflict lingering on, we doubt we will see a positive spin on the data. Markets will also be watching the ECB wage tracker and PPI data for any signs of underlying inflation pressures in addition to the rising energy costs. From the US, we have the ADP employment data for April, which will be watched for signs of weakness, given the payrolls number is due on Friday. The US will also announce the new quarterly refunding plans.

In terms of supply, we open with a 30Y German Bund syndication for €3.5bn. Germany will also auction a 7Y Bund for a similar amount. From the UK we'll see a 9Y Gilt linker for £1.6bn.

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Riksbank likely to hold but hawkish risks are growing

Sweden's central bank is likely to hold rates steady on 7 May, though we see a risk of a more hawkish tone. A rate hike in 2026 may become reality in Sweden if energy prices remain elevated for longer and if the European Central Bank hikes more than once. Our profile for EUR/SEK remains downward-sloping into year-end

The Riksbank in Stockholm, Sweden

A hold, with a hawkish tint

The Riksbank will likely keep rates unchanged at 1.75% at the 7 May meeting. The OIS curve embeds close to zero probability of a hike, and consensus appears unanimous. That said, the chances of policy tightening later this year have increased over the past month.

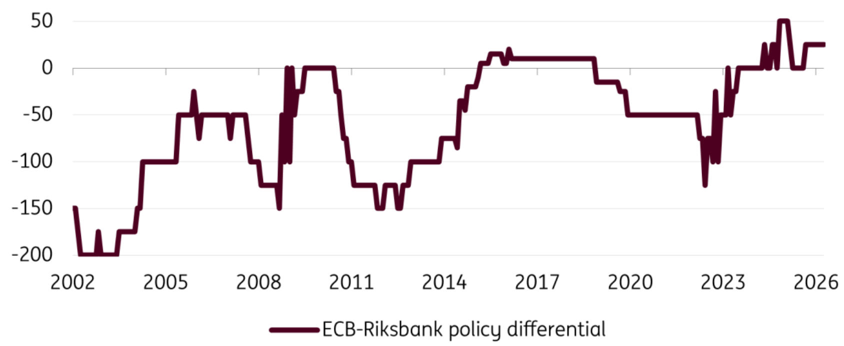
At the 19 March meeting, the Riksbank discussed different inflation scenarios related to the Middle East conflict. In one of them, a prolonged energy shock would warrant monetary tightening despite downside risks to growth. We are clearly moving towards that scenario.

Governor Eric Thedeen said on 22 April that the "risk has risen somewhat that inflation could be higher than we expected a few weeks ago." At the same time, he and other members have stressed that the risks of second-round effects are lower than in 2022, also thanks to a stronger krona. The starting point for inflation is also low.

There is therefore no urgency for the Riksbank to act, and a hold looks likely at this May meeting. However, we see an increasing probability of a hawkish shift in the policy message, with particular concern about risks of the de-anchoring of long-term inflation expectations.

We currently expect the next Riksbank rate hike only in the first half of next year. The longer energy prices remain elevated, the higher the chances of an insurance hike in 2026. Our Riksbank call is also partly tied to our ECB call. Our eurozone macro team currently expects only one ECB hike, but risks are rising of two increases to 2.50%. That would add pressure on the Riksbank to hike as well: the ECB–Riksbank rate gap has never been wider than +50bp.

Riksbank will keep an eye on ECB policy too



Source: ING, Macrobond

Inflation not an immediate concern

March's CPIF reading of 1.6%, down from 1.7% in February, was largely driven by a nearly 20% month on month fall in electricity prices. This reflects seasonal dynamics following the winter period, as well as a decline in package holiday prices, which helped offset increases in petrol and diesel prices of 15% and 28%, respectively, linked to the war.

Fortunately for Sweden, the economy is less exposed to fossil fuel driven inflation than many of its European peers. According to Eurostat data, around 50% of total available energy is renewable and a further 26% is nuclear, meaning that energy consumption is largely insulated from fossil fuel price movements.

We therefore expect inflation pass through to be more moderate and slower in Sweden than in the EU overall. The impact of VAT reductions on food this year should also prevent CPIF from rising as much as in the eurozone. However, the Riksbank's focus may be more on developments in longer term inflation expectations, as well as on a potentially widening gap with the ECB.

Updated EUR/SEK view

Markets are pricing zero probability of a hike at this meeting, but around a 50% implied probability of a Riksbank hike in June. This likely reflects expectations of a more hawkish tilt at this meeting than in our baseline. That said, a clearer signal of openness to tightening at a later stage could be sufficient to keep expectations for an August–September hike alive and avoid a negative SEK reaction.

We have recently revised our EUR/SEK scenario modestly higher, driven by a wider EUR–SEK front end interest rate differential. That said, we retain a downward sloping profile for the pair, with a year end target of 10.60. The growth drag should be more pronounced in the eurozone than in Sweden, and if the ECB delivers two hikes, we would expect the Riksbank to follow with one increase.

In the near term, equity market dynamics remain key for EUR/SEK. Even in the event of renewed escalation in the Middle East, upward volatility in the pair is more likely to be driven by the reaction in global equities than by the direct impact on crude prices. Our end 2Q target remains at 10.75, which embeds a ceasefire agreement and a partial reopening of the Strait of Hormuz.

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FX Daily: It's good to be hawkish

Uncertainty in the Gulf and high oil prices mean that central bankers remain on high alert for the broadening threat of inflation. The Reserve Bank of Australia hiked 25bp again overnight having seen second-round inflation effects emerge. How central bankers react to the inflation shock will be key for FX. And the dollar is getting a lift from the Fed story

Michele Bullock, Governor of the Reserve Bank of Australia, which raised rates by 25bp overnight after seeing second-round inflation effects emerge

USD: Fed to examine the inflation vs. employment trade-off

A look at how G10 currencies have performed since the Gulf crisis started in early March shows the Australian dollar and Norwegian krone at the top of the pack and the Japanese yen and the Swedish krona at the bottom. The outperformers are net energy exporters, but also have policy rates at 4.00% and above backed by hawkish central banks. The underperformers have seen their terms of trade decline as energy import costs rise, plus have pretty dovish central banks. It looks like investors are preferring currencies backed by central banks prepared to run restrictive monetary policy. In fact, the Reserve Bank of Australia overnight cited the emergence of second-round effects as one of the reasons driving its third hike in this tightening cycle – taking the policy to 4.35%. We also think there is a good chance that Norges Bank hikes this Thursday, which would take the policy rate to 4.25%.

We mention the above for some context on the dollar. Following last week's hawkish FOMC meeting and still elevated energy prices, the market has swung to pricing 6-7bp of Fed tightening this year. So, no longer is it just a question of delayed Fed easing, but whether the Fed will respond to this inflation shock after all with tighter policy. The debate here is where the Fed stands on its dual mandate of maximum employment and price stability, which brings us to the data this week. Here, the focus is very much on the jobs data, with JOLTS data (today), monthly ADP data tomorrow and the April NFP data on Friday. We suspect even a largish decline in NFP this month might not be enough to derail Fed tightening expectations, given the volatility of this jobs data recently and the emerging view that the size of the labour force may be flat right now.

In terms of the prices, the focus today will be on the ISM April services data and whether selling price expectations are picking up. If so – and also given that market-based measures of inflation expectations are on the rise – the Fed is going to be dragged more towards the price stability side of its mandate.

Unless there are clear signs of moves towards sustainable peace in the Gulf – and there is some focus that President Trump wants a deal before his trip to China on 14/15 May – we suspect high oil prices can keep short-dated US rates and the dollar bid. That can see DXY drifting back towards the 99.00/99.50 area this week.

Chris Turner

EUR: Could natural gas be the next point of concern?

Somewhat ominously, ING's Head of Commodities Strategy, Warren Patterson, is today warning that the natural gas market is underpricing the risks of lost supply in the Persian Gulf. One of the saving graces for the eurozone this year has been that natural gas prices have spiked nowhere near as high as they did in 2022, meaning that the negative shock to the eurozone's terms of trade has been nowhere near as large. Should Warren be correct in that natural gas prices risk a sizeable leg higher, the euro would come under broader pressure.

In recent weeks, we have been pitching the story that 1.17 looks a fair level for EUR/USD given our key assumptions for energy prices, central bank policies and equity markets. That is still the case. But any further pricing of Fed tightening or much higher natural gas prices presents increasing downside risks to that 1.17 EUR/USD equilibrium.

Expect oil prices to again drive EUR/USD today, with risks slightly skewed more to the 1.1630/50 area.

Chris Turner

JPY: Decreasing marginal impact of intervention

USD/JPY is drifting higher again as it recovers from the effects of Japanese FX intervention. It looks reasonably clear that the Bank of Japan sold in excess of $30bn last Thursday and may have followed it up with more modest intervention over the last two trading days. Indications of whether there has indeed been follow-up intervention will not emerge until late Japanese time on Thursday when the BoJ updates its current account balance data. Nonetheless, the market is bracing for more intervention in holiday-thinned markets.

However, Japanese authorities will have their work cut out in trying to keep USD/JPY offered.

Energy prices remain high and US interest rates are on the rise, which creates stiff headwinds for any yen appreciation. And as we discuss above, dovish central banks are seeing their currencies being punished. In short, the fundamentals remain firmly yen negative and Japanese authorities are just trying to buy some time.

We suspect USD/JPY will drift back to the 160 level over the coming weeks unless there is a clear breakthrough in peace negotiations in the Gulf.

Chris Turner

AUD: High-yielding commodity currency

AUD/USD is a little lower today despite the RBA hiking by 25bp to 4.35%. The sell-off looks to be driven by the view that the RBA may now be entering a pause, having brought policy to mildly restrictive. However, we doubt the sell-off needs to extend too far given that the RBA has once again followed through on its hawkish credentials and stands ready to do more. Here, the market thinks the RBA can skip the June meeting but hike again at either the August or September meeting.

Expect AUD to find continued good demand on dips and the core trend of bullish AUD/JPY to remain intact as investors position for the trade-offs in both energy dependency and central bank policy.

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Sharp CPI overshoot raises risk of more aggressive rate moves in the Philippines

Headline CPI in the Philippines surged to a three year high of 7.2% YoY in April, driven primarily by broad based food inflation and fuel linked pressures on transport and utilities. With oil prices staying elevated and inflation set to rise above 8% in 2Q, a June rate hike is a done deal, with risks increasingly skewed toward a larger or faster move

Food inflation was the key driver of the CPI spike in April

CPI inflation surges to three-year high

Headline CPI inflation in the Philippines rose sharply to 7.2% year-on-year in April, much higher than our expectation of 5.2%, and up by over 3 percentage points from 4.1% YoY in March.

While the jump in transport inflation was expected due to higher oil prices, it was the significant acceleration in food inflation, together with second-round effects from the continued pass-through of higher global oil prices to electricity, gas, and restaurant prices, that drove the upside surprise.

Food contributed the most, followed by transportation

- **Food inflation**, which accounts for roughly 38% of the CPI basket, remained the key driver, with its contribution to headline inflation doubling to 2.3ppt from 1.1ppt in the previous month. Rice prices rose 13% YoY and accounted for roughly half of the food inflation, while non rice food prices contributed the remainder – suggesting that price pressures within the food category were more broad based and symmetrically driven by fertiliser shortages, rather than being solely attributable to rice specific factors.

- **Fuel** inflation was up 76% YoY while driving transport inflation, up by 21% YoY, was the second largest contributor to headline inflation, accounting for a total contribution of around 2ppt, or about 28% of overall YoY inflation. Housing, electricity, and gas contributed a further 1.7ppt, also largely driven by higher fuel prices.
- **Services inflation**, in contrast, did not see any large spikes, with its overall contribution accounting for less than 1ppt of headline inflation. However, core inflation rebounded to 3.9% YoY – led by a 20% YoY surge in recreational services – leaving it just a touch below the Bangko Sentral ng Pilipinas (BSP's) 4% target.

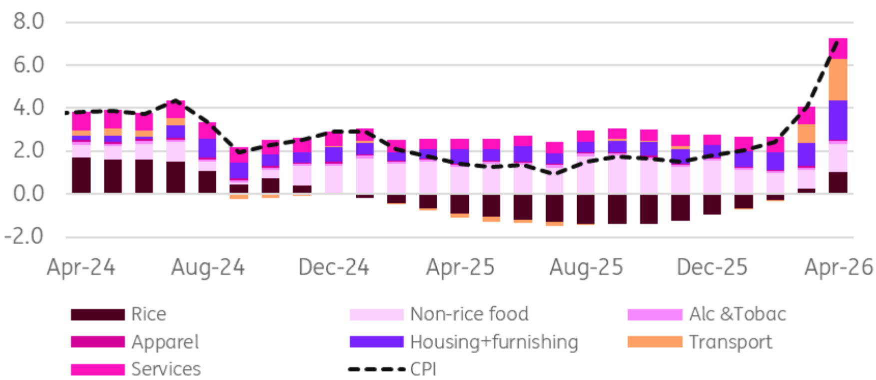
A 25bp hike is a done deal, with risks tilted towards a 50bp move

We continue to expect front loaded and measured rate hikes by the BSP. With negotiations around the US Iran conflict dragging on and no imminent de escalation in sight, our base case has shifted toward higher global oil prices, with supply disruptions easing materially only in 3Q. Against this backdrop, we now expect Brent crude prices to average around US$104/bbl in 2Q, with CPI inflation likely to rise further and average above 8% in 2Q, pushing our full year inflation forecast to 6% YoY.

The sharp CPI upside surprise reinforces the risk of larger and faster rate moves by the BSP. Inflation pressures have become increasingly broad based, with food and fuel shocks feeding into core inflation and services, raising the risk of more persistent second round effects. In this context, a 25bp rate hike in June looks assured, with risks clearly tilted toward a 50bp move.

Moreover, given the BSP's preference for measured policy adjustments and the recent sharp depreciation pressures on the PHP, a rate hike ahead of the next scheduled policy meeting cannot be ruled out. As such, we now expect a further 75bp of cumulative rate hikes from the BSP in our base case. Under a prolonged war scenario, however, a deeper and more aggressive hiking cycle would likely follow.

Contribution to YoY Inflation pp



Source: CEIC

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THINK Ahead: The big June gamble

European central bankers are threatening rate hikes in June. But if they're hoping for clarity on inflation over the next six weeks, they're likely to be disappointed, argues James Smith. Come for the niche economics memes, stay for our preview of the week ahead...

Source: Imgflip

The big June gamble

Don't ask me why, but this week's European Central Bank meeting got me thinking about a meme from *The Simpsons*. The one with the bus driver who silently taps a sign reading "Don't talk to the driver" every time a passenger strikes up conversation.

Christine Lagarde could have saved herself a lot of effort this week by doing much the same. A gentle tap on a banner saying "We're hiking in June unless energy prices collapse" would probably have covered most of the questions.

She didn't put it quite that bluntly, of course. But she did say the Governing Council had a lengthy discussion about hiking. She said the ECB is moving away from its previous baseline, towards a world implicitly associated with higher interest rates. And, most tellingly, she said "directionally" that she knew where rates were heading.

If that still wasn't explicit enough, an inevitable "ECB sources" quote soon followed, suggesting a June hike is highly likely.

What stood out more to me, though, was Lagarde's suggestion that the ECB would have "a lot more information" on how the crisis is feeding through to inflation by the June meeting, just six weeks away.

That feels optimistic.

Yes, headline inflation is going higher. It's already at 3% and our team expects it to push towards 4%, broadly consistent with the ECB's "adverse" March scenario, and the one Lagarde now appears to be emphasising.

And yes, consumer inflation expectations have jumped, too. Data this week showed households expect inflation of 3% three years out, up from 2.5%, matching the highs of 2022. Something similar has happened in the UK.

That's already two of the three warning lights Carsten Brzeski identified in his ECB preview.

But neither tells us much about persistence, nor about the strength of second round effects. And that will take time. Food inflation – one of the clearest channels for energy prices to feed through – is unlikely to peak before next winter.

It may take even longer for inflation pressures to show up in prices less directly affected by energy. Think services that are repriced annually. Or wages, which in Europe are governed by slow, multi year bargaining processes.

True, the ECB and other central banks will see more survey data by June. So far, those hint at only partial pass-through from higher input costs to output prices. But most businesses, like the rest of us, still don't really know how this crisis will affect them – let alone where the crisis itself is headed.

It's not at all clear that we will be much the wiser by June. There's a growing view in energy markets that the current stalemate could drag on. Dated Brent – physical oil ready for delivery – is trading around $122/bbl, some $10 higher than a week ago.

Then again, geopolitical experts point to a planned meeting between Presidents Trump and Xi in mid-May, and whether the US will want it to be overshadowed by events in and around the Gulf. That raises at least the possibility of a deal that allows some tankers to move again.

Our own updated oil forecasts are based loosely on a scenario where disruption to oil flows reduces from 70% today to 35% through May. If that entails a fragile, volatile truce in the Strait without a broader conflict resolution, then I think it would pose a significant dilemma for central banks in June.

The question is what matters more, the volume of oil already lost along with the supply chain impact that has already been baked in? Or the flow of oil and gas going forward, which – even if uncertain and only partially restored – could push energy prices lower over the summer?

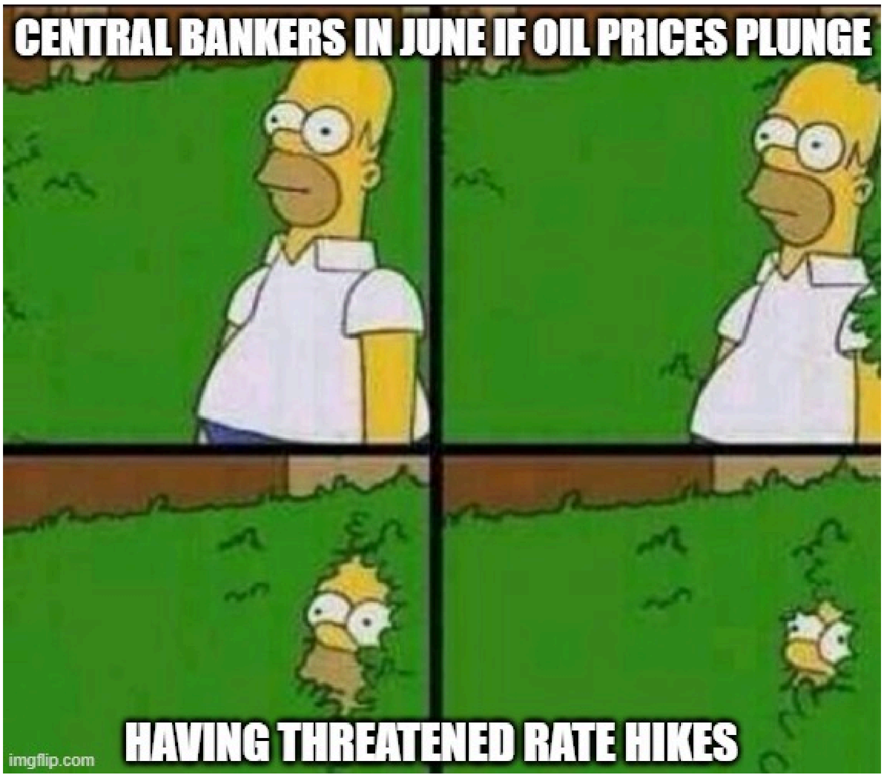
For June, my money is on the former. As long as markets are pricing rate hikes this year – and as long as that keeps inflation expectations contained – there's only so long central banks will feel able to stay on the sidelines. A June ECB hike is our base case, and after this week's meeting, it is for the Bank of England, too.

Whether those hikes come about because officials have more clarity on the inflation outlook, I'm not so convinced. And whether those hikes are repeated again in September and beyond is equally questionable, in the sort of base case scenario described above.

A lot can still happen over the next six weeks; a gradual return of oil flows is one of many scenarios, each as (im)plausible as the next. A decisive reopening of the Strait of Hormuz and a sharp fall in energy prices is no doubt a wildcard.

If that happens, well, central banks might just take inspiration from another of those famous *Simpsons* memes...

Like Homer, central banks might feel like hiding in a hedge...



Source: Imgflip

THINK Ahead in developed markets

United States (James Knightley)

- **NFP** (Fri): The monthly increases in non-farm payrolls have averaged only 20,000 since January 2025. So, if the US couldn't meaningfully add jobs when the economy was growing robustly and sentiment was strong, it's going to be much harder with huge economic and geopolitical challenges stemming from the Middle East conflict. The ISM employment indices point to contraction while job lay-off announcements remain elevated and consumer confidence surveys suggest sentiment on jobs remains depressed. Yet jobless claims are very low, and the ADP weekly employment statistics have been good. Considering that payrolls surged 178,000 in March with private payrolls rising 186,000, we expect to see a gain closer to 50,000 for April with employment again concentrated in private education and healthcare services.
- **ISM index** (Tue): Other numbers to watch include the ISM services index, which is likely to

soften a touch from strong levels, given the surge in oil costs. New highs for gasoline will also dampen consumer sentiment, with the University of Michigan measure potential hitting new series lows as households fret about spending power.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **NBP decision** (Wed): Even though gasoline price increases were halted in April, partly due to cuts in VAT and excise duties, and food price growth slowed further in annual terms, headline inflation increased to 3.2% year-on-year last month on the back of higher core inflation. This might be a warning sign for some policymakers, but we expect the National Bank of Poland (NBP) to keep rates unchanged in May (main policy rate still at 3.75). We believe rate setters will stick to a wait-and-see approach and to continue to monitor incoming economic data to assess the impact of the current energy shock on both inflation dynamics and economic activity.

Hungary (Peter Virovacz)

- **Inflation** (Fri): We are heading into an extremely busy week for Hungary, but the most relevant data release comes on Friday. The April inflation figure will be closely watched by the markets and by the National Bank of Hungary. The March figure was a pleasant surprise, showing only mild acceleration in the initial wave of price shocks resulting from the war in the Middle East. With the fuel price cap still in place, our focus is on the second-round effects, and we anticipate a limited impact with a 0.6% monthly repricing. The key mitigating factor is the strength of the forint. Services, durables and clothing will be among the drivers of price pressures, while household energy will dampen price pressures due to methodological reasons.

Czech Republic (David Havrlant)

- **PMI** (Mon): The industrial PMI likely softened in April, as elevated oil and natural gas prices along with substantial geopolitical uncertainty began to bite. A tangible deterioration is likely to be seen over the coming months, with conditions becoming more difficult amid the ongoing conflict in the Middle East. Inflation in April is likely to have increased, driven by further gains in fuel prices. That said, we assume that prices in other parts of the consumer basket have also gained traction. Industrial output in March likely maintained its positive growth pace, as the effects of weakening demand and emerging supply chain disruptions are only likely to become visible with a lag. Despite the pickup in inflation, the Czech National Bank will likely hold rates unchanged, as the negative consequences for economic activity are expected to follow suit. Being in a relatively comfortable position, policymakers can take a wait-and-see stance for all the right reasons.

Turkey (Muhammet Mercan)

- **Inflation** (Mon): We expect April inflation to remain high at 2.9% (translating into 30.7% on an annual basis) given the ongoing pressures linked to geopolitical developments and the high and volatile energy prices. Accordingly, administrative price adjustments in electricity and natural gas will determine the April inflation, while signals of a slowdown in economic activity are likely to be a restraining factor, in our view.

Armenia and Azerbaijan (Dmitry Dolgin)

- **Rate Decisions:** We expect the central banks of Armenia (5 May) and Azerbaijan (6 May) to keep the policy rates on hold – at 6.50% in both cases. This would follow the example of Kazakhstan and Uzbekistan, which also opted for unchanged policy rates reflecting a mix of domestic and external risk factors. While the current domestic CPI trends in the CIS region appear to be largely benign, the ongoing tensions in the Middle East and the resulting increase in global commodity prices call for region-wide caution in terms of monetary policy, in our view.

Key events in developed markets next week

		Monday 4 May		
US	1500	Mar Factory Orders (MoM%)	0.4	0
Eurozone	0900	Apr HCOB Manufacturing PMI Final	-	52.2
Germany	0855	Apr HCOB Manufacturing PMI Final	51.2	51.2
Italy	0845	Apr S&P Global/IHS Manufacturing PMI	-	51.3
		Tuesday 5 May		
US	1330	Mar International Trade (USD bn)	-62.5	-57.3
	1445	Apr S&P Global Composite PMI Final	-	52
	1445	Apr S&P Global Services PMI Final	-	51.3
	1500	Apr ISM Non-Manufacturing PMI	53.2	54
	1500	Mar New Home Sales (mn)	0.7	0.6
Canada	1330	Mar Trade Balance (CAD bn)	-	-5.74
Switzerland	0730	Apr CPI (MoM%/YoY%)	-/-	0.2/0.3
		Wednesday 6 May		
US	1315	Apr ADP Employment Change (000s)	75	62
Eurozone	0900	Apr HCOB Services PMI Final	-	47.4
	0900	Apr HCOB Composite PMI Final	-	48.6
Germany	0855	Apr HCOB Services PMI Final	46.9	46.9
	0855	Apr HCOB Composite PMI Final	48.3	48.3
France	0745	Mar Industrial Output (MoM%)	-	-0.7
	0850	Apr HCOB Composite PMI	-	47.6
UK	0930	Apr S&P Global/CIPS Serv PMI Final	52	52
	0930	Apr S&P Global Composite PMI Final	52	52
Italy	0845	Apr Composite PMI	-	49.2
Spain	0815	Apr Services PMI	-	53.3
Norway	0700	Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
		Thursday 7 May		
US	1330	Initial Jobless Claims (000s)	202	189
	2000	Mar Consumer Credit Change (USD bn)	11	9.5
Eurozone	1000	Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/1.7
Germany	0700	Mar Industrial Orders (MoM%)	0.5	0.9
France	0745	Mar Trade Balance (EUR bn)	-	-5.8
Norway	0900	Key Policy Rate	-	4.00
Sweden	0830	Key Policy Rate	-	1.75
Switzerland	0800	Apr Unemployment Rate Adjusted	-	3
		Friday 8 May		
US	1330	Apr Non-Farm Payrolls (000s)	50	178
	1330	Apr Private Payrolls (000s)	55	186
	1330	Apr Unemployment Rate (%)	4.3	4.3
	1500	May Michigan Sentiment Flash	49.4	49.8
	1500	May Michigan Conditions Flash	52	52.5
	1500	May Michigan Expectations Flash	47.5	48.1
Germany	0700	Mar Industrial Output (MoM%/YoY%)	3	-0.3/0
	0700	Mar Exports	-3	3.6
	0700	Mar Imports	-4	4.7
	0700	Mar Trade Balance (EUR bn)	20.1	19.8
Canada	1330	Apr Unemployment Rate	-	6.7
Netherlands	0530	Mar Manufacturing Output (MoM%)	-	-1.3

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 4 May		
Russia	0700	Apr S&P Global Manufacturing PMI	-	48.3
Turkey	0800	Apr CPI (MoM%/YoY%)	2.9/30.7	1.9/30.9
	0800	Apr Manufacturing PMI	-	47.9
Poland	0800	Apr S&P Global Manufacturing PMI	49.2	48.7
Hungary	0800	Apr Manufacturing PMI	54.1	50.4
Czech Rep	0830	Apr S&P Global PMI	51.0	52.8
Kazakhstan		Apr CPI (MoM%/YoY%)	0.9/10.7	0.6/11.0
		Tuesday 5 May		
Armenia		Policy rate (%)	6.50	6.50
		Wednesday 6 May		
Russia	0700	Apr S&P Global Services PMI	-	49.5
Azerbaijan		Refinancing Rate (%)	6.50	6.50
Poland	1300	May NBP Base Rate	3.75	3.75
Czech Rep	0800	Apr CPI (MoM%/YoY%)	0.5/2.6	0.6/1.9
Hungary	0730	Mar Industrial Output (MoM%/YoY%)	1.4/2.9	-1.8/-1.5
		Thursday 7 May		
Czech Rep	0800	Mar Industrial Output (YoY%, WDSA)	1.4	1.3
	0800	Mar Trade Balance (CZK bn)	20.5	19.3
	1430	CNB Rate Decision	3.50	3.50
Hungary	0730	Mar Retail Sales (YoY%)	4.8	3.8
Ukraine	1330	Apr CPI (MoM%/YoY%)	-/-	1.7/7.9
Serbia	1100	May Benchmark Interest rate	5.75	5.75
		Friday 8 May		
Turkey	0800	Mar Industrial Output (YoY%)	-	2.2
Hungary	0730	Apr Core CPI (YoY%)	2.6	1.9
	0730	Apr CPI (MoM%/YoY%)	0.6/2.2	0.4/1.8
	1000	Apr Budget Balance (Monthly, HUF bn)	-350	-1314

Source: Refinitiv, ING

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Disclaimer

Webinar: Asia's energy shock - Who is most exposed?

Join our live webinar on 7 May as ING's Deepali Bhargava, Lynn Song and Min Joo Kang discuss the impact of surging oil prices on key economies across Asia. Sign up here

Asia accounts for the bulk of oil flows through the Strait of Hormuz, with China, India, and Japan among the largest recipients. But exposure to this supply shock is far from uniform. Countries differ widely in their strategic oil reserves, their ability to cushion price spikes through policy, and how dependent they remain on imported fossil fuels versus alternative energy sources.

Join ING's experts as they explain:

- Why some countries are better placed to manage the disruption than others
- How differences in the energy mix and import dependence shape vulnerability
- What this divergence means for growth, inflation and policy choices across Asia

Speakers

Deepali Bhargava, Regional Head of Research, Asia-Pacific

Lynn Song, Chief Economist, Greater China

Min Joo Kang, Senior Economist, South Korea, Japan

Hosted by ING Editor William Pesek

Details

Date: Thursday, 7 May

Time: 1500 HKT/ 1600 KST /0900 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 30 April 2026

ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer

At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today’s ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It’s still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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Hawkish Fed members fire warning shot across Warsh's bow

The Federal Reserve held rates steady with Stephen Miran again voting for a cut, but three members – while not voting for a hike – signalled a growing sense of unease on the inflation front. This suggests a tougher two-way debate on rates at Kevin Warsh's first FOMC meeting as Chair in June

The Federal Reserve left rates unchanged at Jerome Powell's final meeting as Fed Chair

Fed hawks find their voice

The Federal Reserve has left monetary policy unchanged with officials voting 8-4 in favour of keeping stable rates. Those four are broken down as Stephen Miran again voting for a 25bp rate cut, but with three others – Beth Hammock, Neel Kashkari and Lorie Logan – while not voting for a rate hike, "did not support inclusion of an easing bias in the statement at this time".

The confusing aspect is there isn't specifically a reference to an easing bias. The statement itself says, "The Committee is attentive to the risks to both sides of its dual mandate." This is an unusual way of characterising a vote and it maybe they wanted it included as a shot across the bow of Kevin Warsh, who will be leading the Fed at the next FOMC meeting. They perhaps want to make it clear that they will not be easily swayed to his way of thinking that rates in time can be lowered.

Certainly, the Fed says they will be assessing "a wide range of information, including readings on labour market conditions, inflation pressures and inflation expectations, and financial and international developments". It maybe that the minutes will show they wanted to signal an intention to hike rates if inflation expectations started to push meaningfully higher, risking a more prolonged and broader inflation threat. Markets interpreted it as a hawkish shift, with Fed funds futures contracts discounting stable rates through to year-end, having priced 10bp of cuts in 2026 on Friday.

More disagreement and more market volatility

Today's Senate Banking Committee 13-11 vote in favour of putting Kevin Warsh's nomination to a full Senate ballot means it looks a virtual certainty that he will be signed in as the new Chair just ahead of the 15 May expiration of Jerome Powell's term. The messaging from Warsh is he seemingly wants less of the consensus-driven approach we have seen under previous Chairs, which critics suggest has led to group think that led to slow responses to new events. Instead, Warsh is advocating for an environment where debate and disagreements are encouraged and that looks set to be the case in June. This implies the potential for more surprises and therefore more market volatility. Powell has also said he will continue to serve as a Governor for a "period of time" – his term for that position continues until January 2028 – and this is likely to keep tensions between the President and a more hawkishly positioned Fed, elevated.

Inflation still seen as transitory, but the Fed needs to protect its credibility

Both headline and core inflation have been above the 2% target for five years and looks set to break above 4% next month on gasoline and air fares, so it is understandable why markets and Fed officials are nervous. Officials want to ensure that we don't see higher energy prices feed through into the cost of other goods and services, and so we expect them to talk very tough on this front. This hawkish rhetoric is likely to be stepped up over the next few weeks and until a deal is done in the Middle East that will hopefully provide relief.

Nonetheless, companies have not had much success in passing on the significant cost of tariffs to consumers with CPI goods prices ex-food and energy barely rising 1% year-on-year. Importantly, the current supply shock, focused on fuel prices, is not as broad as the pandemic-related supply chain stresses in 2020/21, and we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

Real household disposable incomes are already flatlining amidst a stagnating jobs market, so we see higher fuel prices as being demand destructive via reduced spending power. This is set to weigh on core inflation, and we also need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further. Moreover, if Middle East tensions ease and oil prices drop, there is a high probability of sub-2% year-on-year inflation being achieved in 2027.

Right now, the outlook is highly uncertain and could change very quickly due to developments in the Middle East. We expect the Fed to hold rates steady throughout the summer. Our view, for some time, has been a September rate cut and a December rate cut, but we do recognise that the risk is they are delayed given the current lack of signs of a potential deal. Nonetheless, we still see the prospect of eventual rate cuts being more likely than rate hikes.

Curve flattens on front end scare factor

Earlier, the US 10yr yield had gapped higher, and hit 4.4%. Actually, the whole curve gapped up. The hold-out in the Strait of Hormuz was the catalyst. Some duration selling makes a lot of sense here, where we are in "nowhere land" on a resolution to the war. Extrapolate this, and we could sail back up to the 4.5% area that we hit a few weeks ago. Some of this was echoed in the decision of three Fed members to step away from the underlying easing bias that had dominated policy changes since the wider rate-cutting process began. For these three members, that journey is at an end. The main follow-through from the FOMC outcome is a consolidation at 4.4% for the 10yr, and a further rise in the 2yr to above 3.9% – a flatter curve from the front end. More to come, at least for as long as the hold-off in the Strait continues, and the prognosis there is for the status quo to be in an uncomfortable place.

Between March and April, the implementation notes that accompany the FOMC statement are operationally unchanged, but the tone shifts from active reserve support to maintenance – suggesting the plumbing has calmed enough for the NY Fed Desk to stand down, even as policy stays on hold. Last week the NY Fed cut T-bill buying from US$40bn to US$25bn per month, pointing in the same direction, and indicative of some comfort over the plumbing of the system. The missing ingredient here is the ongoing elevation in the effective funds rate. It remains at 3.64%, a mere 1bp below the rate on reserves at 3.65% (unchanged). It used to be 7bp below (September 2025). The Fed, ideally, would prefer to get it back there. But no big stress here. In all probability, the effective funds rate will be coaxed down as bank reserves slowly rebuild in line with ongoing T-bills buying, even if at a slower pace.

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Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook

UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

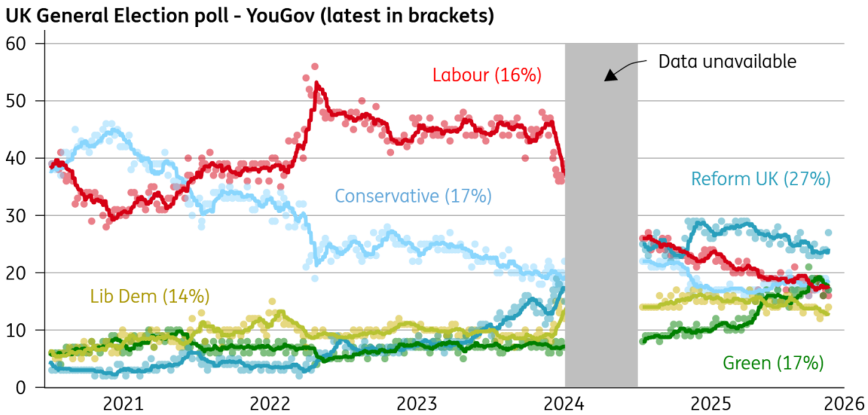
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some predictions.

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

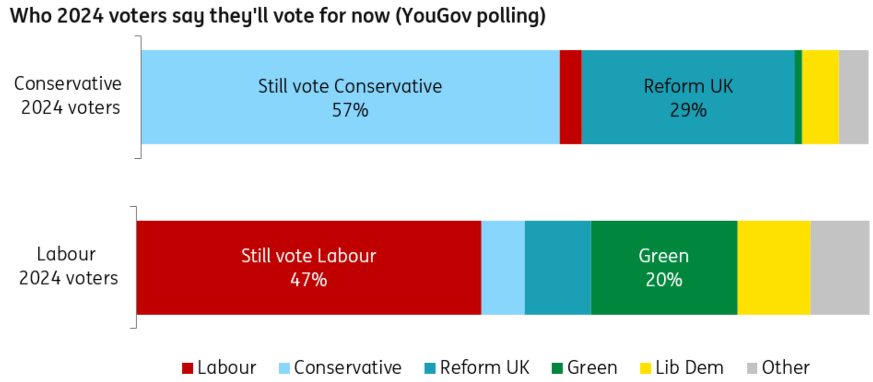
Solid line is the one month moving average

Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral calculus in January and April of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green



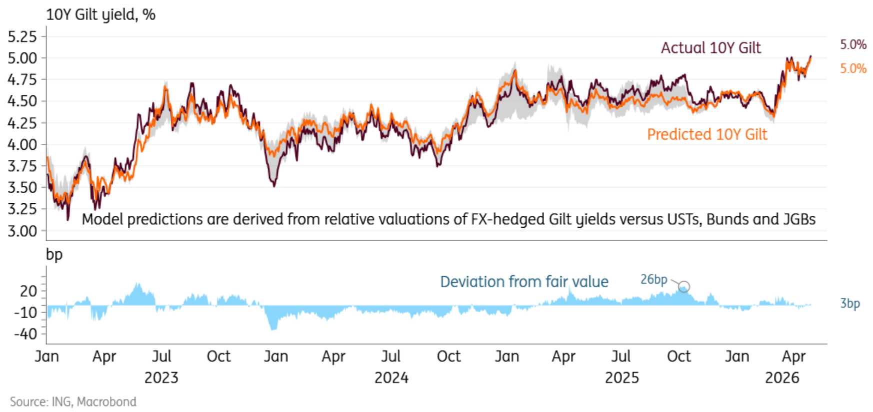
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 "mini budget", which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR fails to account for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A recent speech by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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Kevin Warsh’s Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely

At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that “several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed’s balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He’s not been specific about sizes, but said that they should be significantly reduced. And he’s identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he’s advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US$4.5tn in bond liquidations. That’s unlikely, but we do develop that narrative here. More probable is a targeted sale of the US$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed’s balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed’s balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He’s not been specific as to what that level should be. The unwritten level today is US$3tn. That’s sitting alongside Fed bond holdings of US$6.3tn. Simplistically, if the Fed’s balance sheet was shrunk by

US$2tn, bank reserves could be pressured down to around US$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt

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